

Wealth Transfer Planning

Intergenerational Split-Dollar (IGSD)



High-net-worth families face unique challenges when it comes to effectively passing on their financial success and family wealth. Without a well-thought-out wealth transfer plan, family wealth can be diminished, delayed, or even lost due to federal and state taxes (income, gift, estate, inheritance taxes), creditor attacks, legal entanglements, family disputes, divorce, or mismanagement of the estate. Keeping the family wealth in the family requires intentional planning.

The following information summarizes a wealth transfer concept intended to keep family wealth in the family, control the distribution of wealth to future generations, and help reduce the impact of estate and gift taxes – The Intergenerational Split-Dollar Arrangement.

Overview of Intergenerational Split-Dollar (IGSD)

Intergenerational Split-Dollar (IGSD) is an advanced estate planning technique designed for high-net-worth families who have heavily utilized or exhausted their lifetime gift tax exemptions or would like to use their exemption to transfer other assets. **The primary goals of this strategy are the effective transfer of wealth to future family generations and the reduction of gift and estate taxes.**

The basic structure of an Intergenerational Split-Dollar:

- **The Funding Party (G1):** The senior generation (e.g., wealthy grandparents)
- **The Insured(s) (G2):** The middle generation (e.g., G1's adult children and possibly their spouses if a survivor-type policy is to be used)
- **The Beneficiaries (G3):** The younger generation (e.g., G1's grandchildren)





How Does IGSD Help Reduce the Impact of Estate Taxes?

G1 advances (via loans) the cash required to pay the premiums on a life insurance policy insuring G2 (or G2 and their spouse). In return, G1 receives a split-dollar receivable (a contractual right to be repaid). The critical mechanism of IGSD is that the receivable is not payable until the insured(s) pass away. Because G2 has a much longer life expectancy than G1, there is an actuarially high probability of G1 passing away prior to the insured(s) passing away.

When G1 dies, the split-dollar receivable is an asset of G1's estate. Because the estate cannot collect on this asset until the distant death of G2, appraisers apply a substantial valuation discount based on a discounted cash flow analysis (accounting for G2's remaining life expectancy and time-value of money). This significantly reduces the value of the receivable asset that is included in G1's estate and therefore reduces G1's gross taxable estate. For an example of the potential estate tax advantage, see the Levine case summary at the end of this paper.

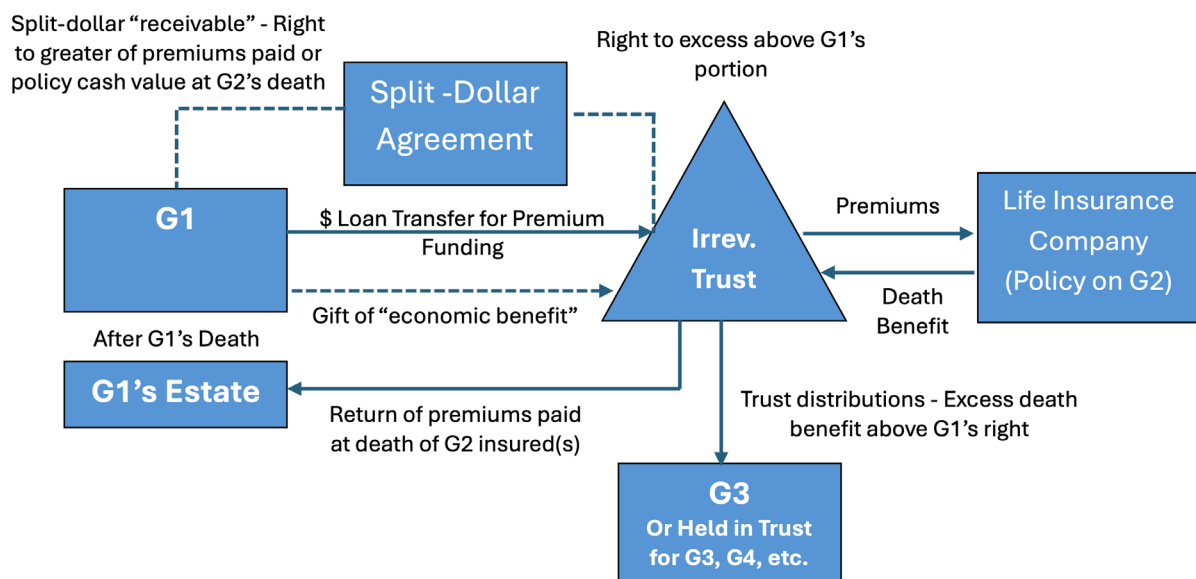
The IGSD Step-by-Step

The transaction involves a series of closely timed steps dividing the obligations, rights, and eventual payouts among G1, the irrevocable trust, and the insurance carrier.

1. **Agreements:** G1 works with their trust and estate planning attorney to draft the following documents:
 - A. **Irrevocable Trust** – An irrevocable trust specifically designed to own life insurance and carry out the wealth transfer goals of G1.
 - B. **Split-Dollar Agreement** - G1 enters into a formal split-dollar agreement with the trustee of the irrevocable trust mentioned above. The agreement details how the rights, obligations, premium payments, and death benefits are to be split between the parties.
 - C. **Collateral Assignment** – To secure repayment of the loan, the life insurance policy is collaterally assigned as security to G1.
2. **Funding:** G1 transfers cash to the irrevocable trust specifically earmarked for life insurance premiums. The transfer is deemed a loan for tax purposes, as documented by the split-dollar agreement.
3. **Policy Purchase:** The trust utilizes the cash to buy a cash value life insurance policy on G2's life (or on G2 and their spouse if the policy is a survivorship policy). The trust is the legal owner and beneficiary of the policy. G3 (grandchildren) are named as the trust beneficiaries.
4. **Gift Tax Returns:** Based on IRS regulations , the arrangement provides an economic benefit (i.e., a gift) to the trust beneficiaries each year equal to the value of the death benefit provided. The value of this gift is based on IRS Table 2001 and is reported on IRS Form 709.
5. **Appraisal:** A qualified business appraiser is engaged to provide a valuation for the receivable asset retained by G1. In an IGSD, G1 typically retains a right to receive the greater of their total cash contributions to the trust or the cash value of the life insurance policy. A similar appraisal is made upon the death of G1 to determine the value of the receivable asset in their estate.
6. **Maturity:** When the insured(s) pass away, the insurance company pays out the total death benefit to the trust.
7. **Splitting the Payout:** Per the split-dollar agreement, the death benefit payout is split. Assuming G1 passed away prior to the insured G2, the insurance company pays G1's estate the amount owed under the receivable (often defined as the greater of total premiums paid or the policy's cash surrender value). The remainder of the death benefit stays in the trust, passing to G3 based on the timing and amounts specified by the trust document, free of income and estate taxes.



Intergenerational Split-Dollar Flowchart:



Estate of Levine v. Commissioner (158 T.C. No. 2, 2022)

For years, the IRS challenged IGSD arrangements, claiming they were artificial tax-shelter schemes designed to manufacture steep estate valuation discounts. However, in 2022, the Full Tax Court issued a landmark, unanimous decision in *Estate of Marion Levine v. Commissioner* that provided a resounding victory for the taxpayer.

In this case, Marion Levine's revocable trust advanced \$6.5 million to an irrevocable life insurance trust (ILIT) to buy policies on her daughter and son-in-law. The revocable trust entered into a split-dollar agreement with the ILIT in which the revocable trust retained a right to an amount equal to the greater of \$6.5 million or the policy's cash value. At her death, her estate valued the split-dollar receivable at \$2,282,195 (a 65% discount based on life expectancies). The IRS argued the full cash surrender value of the policies (\$6.15 million) should be forced back into her taxable estate under Internal Revenue Code (IRC) Sections 2036, 2038, and 2703.

The Tax Court held that the only asset Marion Levine owned at her death was the contractual split-dollar receivable, not the insurance policies themselves. Because she lacked any legal right to unilaterally terminate the policies and claw back the cash surrender value, the valuation discount stood.





The Implementation Blueprint

The Levine decision serves as a blueprint for how planners must structure an intergenerational split-dollar arrangement to withstand IRS scrutiny. The provisions/factors that the court found relevant include, but are not limited to, the following:

1. Rigorous Separation of Control (The “Unilateral Termination” Test)

To avoid IRC Sections 2036 (retained life estates) and 2038 (revocable transfers), the decedent must have absolutely no power, alone or in conjunction with anyone else, to cancel the policy or terminate the split-dollar agreement early.

- The Levine Blueprint: The power to terminate the arrangement must rest solely in the hands of the ILIT. Neither G1 nor G2 can possess strings of control over the trust.

2. Independent Fiduciary Duties

The IRS argued that because Levine’s family members and close associates wore multiple hats (as attorneys-in-fact for her and trustees of the ILIT), they could collude to unwind the deal. The Tax Court rejected this because the ILIT had an independent Investment Committee.

- The Levine Blueprint: The person or committee making decisions for the ILIT must owe a binding fiduciary duty under state law to beneficiaries other than G1. In Levine, the trust was structured under South Dakota law, and the committee owed a strict fiduciary duty to Levine’s grandchildren (G3). Terminating the policy early would destroy the grandchildren’s future payout, which would be a breach of that fiduciary duty.

3. Strict Compliance with Treasury Regulations

The arrangement must fit cleanly into the “Economic Benefit Regime” under Treas. Reg. § 1.61-22.

- The Levine Blueprint: The ILIT must be designated as the explicit legal owner of the life insurance policy from day one. G1 is a non-owner who holds a collateral assignment (a lien) against the policy strictly to secure the receivable. G1 must properly report the value of the annual “reportable economic benefit” as a gift for gift tax purposes. G1 may utilize their annual gift tax exclusions and their lifetime gift tax exemption to avoid paying any gift taxes.

4. Establishment of a Legitimate Non-Tax Business Purpose

The IRS routinely uses IRC Section 2703 to disregard agreements if they are deemed purely tax-avoidance devices.

- The Levine Blueprint: The arrangement must fulfill distinct, documented non-tax family goals. In Levine, the taxpayer successfully argued a multi-generational legacy purpose: providing long-term asset management and illiquidity protection for her grandchildren, ensuring that family businesses wouldn’t have to be liquidated to pay future estate taxes when G2 passed away.





5. Retain donor's financial independence

In the Levine case as well as other court cases that evaluated the IGSD concept, the courts found it important that the donor (G1) remained financially independent. In other words, G1 was not financially dependent on the split-dollar agreement being terminated and receiving a return of their contributions. In Levine, any estate planning needed to be done with Levine's excess capital—i.e., assets that she would not likely need during her lifetime.

- The Levine Blueprint: G1's contribution commitment to the trust should not be so high that it restricts the standard of living they are accustomed to.

To achieve the desired tax goals, it is important to consult with professional legal and tax counsel who are experienced with the IGSD strategy.

IRS Treasury Regulations Section 1.61-22(d)(2)

Tax court cases in which the IGSD was challenged by the IRS include *Estate of Clara Morrisette et al.*, 146 TC 171 (4/13/2016), *Estate of Cahill v. Commissioner*, T.C. Memo. 2018-84 (June 18, 2018), and *Estate of Morrisette v. Commissioner*, T.C. Memo 2021-60 (May 13, 2021)

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Securing Your Legacy

Estate planning is the essential final phase of financial planning. It is a strategic tool designed to ensure the efficient transfer of your assets, maximize tax effectiveness, and guarantee your precise wishes are carried out without complication. This is the ultimate act of financial responsibility.

Contact your dedicated financial professional today to schedule a focused planning session and execute the strategy that secures your comprehensive legacy.

